

While The DAO may have been a disaster, the concept of a decentralized autonomous organization is generalizable past this single instance. The innovative investor should expect to see similar concepts coming to market over the years with their own cryptotokens and should know that not all DAOs or dApps with cryptotokens are similarly shaky.

For example, a fully functional decentralized insurance company, Airbnb, or Uber all hold great promise, and developer teams are working on similar use cases. One can think of an Airbnb or Uber as a middleman, connecting the consumer and provider of a service, and then taking a 20 to 30 percent fee for doing so. While many merchants understandably complain about credit card fees of 2 to 3 percent, the “platform fees” of Airbnb, Uber, and similar platform services are borderline egregious. Many of the cryptotoken systems that are imitating such platforms plan to take a fee that is an order of magnitude less, using underlying blockchain architectures to facilitate the decentralized transfer of value and services. Many of these systems have their own cryptotokens and will run on Ethereum or a similar platform. However, some will be much better constructed than others, and it is unlikely that Ethereum, or platforms like it, will help dApps in future debacles.

DECENTRALIZED PLATFORMS TO PREDICT THE FUTURE